

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

Generated on 2026-07-21

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT TMT M&A ACTIVITY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by cautious optimism, driven by technological advancements and evolving market dynamics. While the overall sentiment reflects a blend of opportunities and challenges, specific subsectors exhibit varied performance based on their unique drivers and headwinds.

Subsector Breakdown:

- **Technology:** The technology subsector remains a cornerstone of growth, buoyed by innovations in AI and cloud computing. For instance, companies are increasingly adopting AI solutions to enhance operational efficiencies, with significant investments flowing into this area.
- **Media:** The media sector is undergoing a significant transformation, with digital platforms gaining traction over traditional media. Companies are focusing on enhancing audience engagement through innovative digital features, although traditional media continues to face revenue pressures.
- **Telecommunications:** The telecom sector is innovating rapidly, particularly with the rollout of 5G technologies. Companies are investing in infrastructure to improve service delivery and capitalize on new revenue streams from IoT applications.
- **Fintech:** The fintech landscape is thriving, characterized by a surge in digital payment solutions and innovative banking models. This subsector is witnessing consolidation, as seen in recent acquisitions aimed at strengthening market positions.
- **AI:** The AI subsector is experiencing explosive growth, with applications spanning various industries. Companies are racing to implement AI solutions, reflecting a broader trend towards automation and enhanced data analytics.

Key Market Drivers and Headwinds

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

Drivers:

- **Technological Advancements:** Continuous innovations in AI, cloud computing, and 5G are propelling growth across TMT sectors. The integration of these technologies is reshaping business models and consumer interactions.
- **Increased Investment:** There is a robust influx of venture capital and private equity into tech and fintech, as investors seek to capitalize on emerging trends and disruptive technologies.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can hinder growth.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may dampen consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector is thriving, driven by demand for SaaS solutions and cloud computing. Companies that adapt to evolving customer needs are well-positioned for sustained growth.
- **Media:** The shift towards digital content consumption is reshaping the media landscape. While digital platforms are gaining traction, traditional media continues to grapple with declining advertising revenues.
- **Telecom:** Telecom operators are heavily investing in 5G infrastructure, which is expected to unlock new revenue opportunities from enhanced mobile services and IoT applications.
- **Fintech:** The fintech sector is witnessing rapid growth, with innovations in digital banking and payment solutions. Recent acquisitions highlight the trend towards consolidation in this space.
- **AI:** The AI subsector is booming, with companies across various industries investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector stands at approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism regarding the long-term prospects of the TMT sector, emphasizing technological advancements as a key growth driver. A leading investment bank analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- Indiegogo Acquisition by Gamefound : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent announcement of Trump's AI Action Plan could alter the regulatory environment, impacting deal structures and valuations.
- Additionally, the rise of AI insurance startups, such as the one founded by a former Anthropic executive, indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- **Resource Allocation :** Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus :** Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement :** Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- **Value Creation:** In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.

- **Dilution:** Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- **Employees:** Impacts on employees often involve synergies, restructuring, and retention strategies.
- **Synergies:** A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined operations and shared resources.
- **Restructuring:** However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- **Retention:** Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- **Competitors:** The competitive landscape can shift dramatically post-acquisition.
- **Market Positioning:** Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- **Specific Competitor Moves:** Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- **Case Studies:** The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- **Market Reaction:** The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- **Analyst Commentary:** Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cloud Computing, and Cybersecurity. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent fluctuations in AI stock valuations, particularly among chipmakers, indicate a volatile market as investors reassess the sustainability of AI-driven profits.
- **Key Companies:**
 - **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems. Despite recent stock declines, NVIDIA remains a critical player due to its market dominance.
 - **Micron Technology, Inc. (MU):** Micron specializes in memory and storage solutions essential for AI applications. The company has seen its stock fluctuate significantly, reflecting broader market concerns about the sustainability of demand for AI-related products.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The recent downturn in AI stocks, particularly among chipmakers, has raised questions about the long-term viability of current valuations, leading to a cautious outlook among investors.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. The recent volatility in AI stocks may present opportunities for strategic acquisitions at lower valuations.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%. The increasing demand for remote work solutions and digital transformation initiatives has accelerated cloud

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

adoption.

- Key Companies:
- Amazon Web Services (AWS): As a leader in cloud services, AWS provides a wide range of solutions, including computing power, storage, and machine learning services. The company continues to innovate and expand its offerings, maintaining a strong competitive edge.
- Microsoft Azure (MSFT): Microsoft Azure is a key player in the cloud computing space, offering a comprehensive suite of cloud services. The integration of AI capabilities into Azure has positioned Microsoft as a formidable competitor to AWS.
- Competitive Landscape: The cloud computing market is characterized by intense competition among major players, including Google Cloud and IBM Cloud. The race for market share is driving innovation and pushing companies to enhance their service offerings.
- M&A Opportunities: The cloud computing sector presents numerous M&A opportunities, particularly for companies looking to expand their service capabilities. Acquisitions of cloud-native startups can enhance existing offerings and drive growth.

Cybersecurity

- Trend Explanation: Cybersecurity has become increasingly critical as businesses face growing threats from cyberattacks. The global cybersecurity market is projected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%. The rise in remote work and digital transformation initiatives has heightened the need for robust cybersecurity solutions.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in cloud-delivered endpoint protection, leveraging AI to detect and respond to threats in real-time. The company has positioned itself as a key player in the cybersecurity landscape, benefiting from the increasing demand for advanced security solutions.
- Palo Alto Networks, Inc. (PANW): Palo Alto Networks offers a comprehensive suite of cybersecurity solutions, including firewalls and cloud security. The company has been actively acquiring smaller firms to enhance its product offerings and maintain a competitive edge.
- Competitive Landscape: The cybersecurity market is highly fragmented, with numerous players ranging from established firms to innovative startups. The increasing frequency and sophistication of cyberattacks are driving demand for advanced security solutions.
- M&A Opportunities: The cybersecurity sector presents significant M&A opportunities as companies seek to bolster their security capabilities. Acquisitions of specialized firms can enhance product offerings and provide a competitive advantage.

Actionable Insights for Bankers and Investors:

- Monitor the volatility in AI stocks for potential acquisition opportunities at lower valuations.
-

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

6. Recommended Readings

Deal Name: Microsoft's Acquisition of Activision Blizzard

- Reading Material: "The Business of Video Games" by Michael Pachter
- Why This Matters: This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7 billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh
- Why This Matters: This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- Reading Material: "The Chip War" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- Reading Material: "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

Deal Name: Google's Acquisition of Fitbit

- Reading Material: "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other tech giants, emphasizing the importance of data in the future of healthcare.

7. MACROECONOMIC UPDATE

Key Data Points:

- U.S. healthcare spending: nearly \$6 trillion
- Average cost of a knee replacement in the U.S.: \$25,000
- Average cost of a knee replacement in France: \$6,000
- Healthcare inflation dipped below 3% earlier this year
- Hospitals account for \$2 trillion in U.S. healthcare spending

Main Insights:

- Healthcare represents roughly 20% of the U.S. economy and is a significant job creator.
- Despite high costs, official inflation data shows healthcare prices have been relatively stable.
- The complexity of healthcare pricing makes it difficult for accurate inflation measurement.
- The aging population is expected to increase healthcare consumption and costs.

Market Commentary:

- "The high cost of healthcare is taken as a given, yet official data shows lower than expected inflation." - Andrew Sheets, Morgan Stanley
- "Hospitals are facing higher costs and shrinking margins, which could lead to future price increases." - Mark Schmidt, Morgan Stanley

TMT Sector Relevance:

- The healthcare sector's economic dynamics can impact technology investments in health tech and telemedicine.
- Rising healthcare costs may drive demand for innovative solutions in the TMT space, such as digital health platforms and data analytics tools.

APAC TMT Sector M&A & Valuation Brief - 2026-07-21

APAC TMT Sector

The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley